

COMMERCIAL LEASE AGREEMENT

FOR OFFICE AND WAREHOUSE PREMISES

Lessor:	Bridgestone Property Holdings Pty Ltd (ACN 001 234 567)
Lessee:	Acme Manufacturing Pty Ltd (ACN 987 654 321)
Premises:	Units 4 & 5, 22 Industrial Drive, Dandenong VIC 3175
Commencement:	1 February 2019
Expiry Date:	31 January 2022
Option to Renew:	Two (2) further terms of three (3) years each
Base Rent:	\$142,000 per annum + GST, payable monthly in advance
Rent Review:	Annual CPI adjustment, minimum 3% per annum
Security Deposit:	\$71,000 (equivalent to 6 months' rent)

1. TERM AND HOLDING OVER

1.1 The initial term of this Lease commences on the Commencement Date and expires on the Expiry Date specified above (the 'Initial Term').

1.2 If the Lessee continues to occupy the Premises after the Expiry Date without exercising the Option to Renew, the Lessee shall be deemed to be holding over on a month-to-month basis at a rental of ONE HUNDRED AND FIFTY PERCENT (150%) of the then-current monthly rent. Such holding over shall not constitute a renewal of this Lease and may be terminated by either party on 30 days' written notice.

2. OPTION TO RENEW

2.1 The Lessee is granted an Option to Renew this Lease for two (2) further terms of three (3) years each (each an 'Option Term'), subject to the following conditions:

- The Lessee must give the Lessor written notice of its intention to exercise the Option no earlier than nine (9) months and no later than six (6) months prior to the expiry of the then-current term.
- At the time of exercise, the Lessee must not be in default of any obligation under this Lease.
- The Option to Renew is personal to the Lessee and may not be exercised by any assignee or sublessee without the prior written consent of the Lessor, such consent not to be unreasonably withheld.

3. RENT AND RENT REVIEW

3.1 The Lessee shall pay the Base Rent in advance on the first day of each calendar month.

3.2 The Base Rent shall be reviewed annually on each anniversary of the Commencement Date ('Review Date'). The reviewed rent shall be the greater of:

- The Base Rent payable in the immediately preceding year increased by three percent (3%); or

- The Base Rent payable in the immediately preceding year increased by the movement in the Consumer Price Index (All Groups, Melbourne) for the twelve (12) months ending on the quarter immediately preceding the Review Date.

3.3 The rent review under this clause is upward only. No downward adjustment shall be made in any circumstances.

4. OUTGOINGS

4.1 In addition to the Base Rent, the Lessee shall pay the Lessor an amount equal to the Lessee's Proportion of all Outgoings relating to the Building and the Land.

4.2 'Outgoings' includes without limitation: council rates; water rates; building insurance; land tax; management fees; body corporate levies; and all other costs, charges and expenses of whatsoever nature incurred by the Lessor in connection with the ownership and operation of the Building.

4.3 The Lessee's Proportion is calculated as 62% of total building outgoings, representing the proportion of net lettable area occupied by the Lessee, as determined by the Lessor at its sole discretion.

5. MAKE-GOOD OBLIGATIONS

5.1 At the expiry or sooner determination of this Lease, the Lessee shall at its own cost:

- Reinstall the Premises to their condition as at the Commencement Date, fair wear and tear excepted;
- Remove all fixtures, fittings, plant, equipment and other items installed by the Lessee;
- Repaint all painted surfaces in colours approved by the Lessor;
- Replace all floor coverings that have been damaged, stained or subject to abnormal wear;
- Restore all structural modifications to the Premises to their original condition.

6. ASSIGNMENT AND SUBLETTING

6.1 The Lessee shall not assign this Lease or sublet the whole or any part of the Premises without the prior written consent of the Lessor.

6.2 Consent may be withheld by the Lessor in its absolute discretion (subject to any legislative limitations).

6.3 In the event of an assignment, the original Lessee shall remain jointly and severally liable for all obligations under this Lease for the remainder of the term, notwithstanding the Lessor's consent to the assignment.

7. DEFAULT AND TERMINATION

7.1 The Lessor may, without prejudice to any other remedy, terminate this Lease immediately upon written notice if:

- The Lessee fails to pay any amount due under this Lease within seven (7) days of the due date;
- The Lessee becomes insolvent, is wound up, or has a receiver or administrator appointed;
- The Lessee breaches any material term of this Lease and fails to remedy such breach within fourteen (14) days of written notice from the Lessor; or

- Any representation or warranty given by the Lessee in connection with this Lease is found to be false or misleading.

8. GOVERNING LAW

8.1 This Lease is governed by the laws of the State of Victoria, Australia.

8.2 Any dispute arising in connection with this Lease shall be referred to mediation before any court proceedings may be commenced. The costs of mediation shall be borne equally by the parties.

IMPORTANT: This document is a fictitious sample created for demonstration purposes only. All entities, persons, addresses, and figures are entirely fabricated. This does not constitute legal advice.